LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Term Loans?

Developed by www.loanbazaaronline.com

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Executive Summary & Course Orientation

Term Loans represent the foundational cornerstone of long-term capital formation, industrial capacity expansion, infrastructure buildout, and corporate asset creation in the Indian financial system. As a structured, credit-evaluated debt instrument disbursed by commercial banks, Non-Banking Financial Companies (NBFCs), and specialized Development Finance Institutions (DFIs) like NaBFID, SIDBI, PFC, and REC, a Term Loan provides specified capital lump-sums or staged drawdowns that are amortized over an agreed multi-year tenure through regular principal and interest servicing.

This white paper reference document is engineered as an authoritative, exhaustive masterclass manual. Designed to serve as a standalone curriculum, reading this document alone will equip any finance rookie, corporate CFO, credit analyst, investment banker, or student with the exact institutional knowledge required to master Term Loans, structure complex capex credit lines, perform quantitative debt underwriting, manage security creation, and clear all professional certification assessments on commercial term debt in India.

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Module 1: Product Overview & Core Fundamentals

1.1 Definition and Foundational Concept of Term Loans

A Term Loan is a formal credit agreement under which a borrower receives a specific sum of money from a lender, agreeing to repay the principal amount along with interest over a designated period ranging from 3 to 15 years (or up to 20–25 years in specialized infrastructure and project finance). Unlike revolving credit facilities that fluctuate daily based on operating cash cycles, a Term Loan is a non-revolving, committed debt facility designed specifically to finance non-current, income-generating capital assets.

The foundational principle of Term Loans rests on the **Asset-Liability Matching (ALM)** concept. Short-term operational liabilities (raw materials, payroll, utility bills) are financed via short-term working capital instruments (Cash Credit, Overdraft, WCDL), whereas long-term fixed assets (land, factory buildings, heavy machinery, infrastructure corridors) that yield revenues over a decade or more must be funded by long-term debt whose amortization matches the asset's economic useful life.

1.2 Distinction Between Term Loans and Working Capital Facilities

Understanding the distinction between Term Loans and Working Capital Facilities is essential for corporate financial management:

1. **Asset Creation vs. Operating Liquidity:** Term Loans create tangible fixed assets (Plant & Machinery, Land & Buildings, Commercial Real Estate) or long-term intangible assets (Technology Licenses, M&A Acquisitions). Working Capital lines finance current assets (inventory, raw materials, receivables, trade bills).
2. **Revolving vs. Non-Revolving:** Cash Credit (CC) and Overdraft (OD) lines allow continuous drawdowns and repayments within an approved limit. Term Loans are disbursed up to the sanctioned limit and cannot be re-borrowed once principal repayments commence.
3. **Tenure & Amortization:** Working Capital facilities are short-term (12-month annual review cycles). Term Loans are multi-year facilities (3 to 15 years) governed by a binding repayment schedule.
4. **Primary Repayment Source:** Term Loans are serviced out of net operating cash flows (**PAT + Depreciation + Interest**), whereas Working Capital lines are self-liquidating through the conversion of current assets (stock liquidation and debtor collections).

1.3 Key Classifications of Term Loans

Term Loans in India are classified into distinct structural categories based on currency, tenure, and purpose:

- **Rupee Term Loans (RTL):** Disbursed and serviced in Indian Rupees (`INR` / ₹), benchmarked to bank Marginal Cost of Funds based Lending Rates (MCLR) or External Benchmark Lending Rates (EBLR).

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- **Foreign Currency Term Loans (FCTL):** Disbursed in foreign currencies ($USD, €EUR, £GBP, ¥JPY) to finance capital equipment imports or overseas acquisitions under the RBI's External Commercial Borrowing (ECB) framework, benchmarked to SOFR or EURIBOR.
- **Short-Term Term Loans (STTL):** Tenures of 1 to 3 years, utilized for minor capex, debottlenecking, or bridge financing.
- **Medium-Term Term Loans (MTTL):** Tenures of 3 to 7 years, commonly utilized for machinery procurement, commercial vehicle fleets, and business expansion.
- **Long-Term Term Loans (LTTL):** Tenures of 7 to 15+ years, utilized for greenfield manufacturing plants, industrial real estate, power plants, and public-private partnership (PPP) infrastructure concessions.

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Module 2: Structural Architecture & How Term Loans Work

2.1 The End-to-End Term Loan Lifecycle

The execution of a Term Loan follows a rigorous 6-stage institutional lifecycle:

1. **Origination & Credit Appraisal:** The borrower submits a detailed Project Report, Techno-Economic Viability (TEV) study, financial projections, and collateral documents. Lenders evaluate creditworthiness, Debt Service Coverage Ratio (DSCR), and Fixed Asset Coverage Ratio (FACR).
2. **Sanction Letter Execution & Documentation:** Upon credit committee approval, a formal Sanction Letter is issued detailing facility limits, interest rates, tenure, security cover, and pre-disbursement Conditions Precedent (CPs). The borrower executes Loan Agreements, Deeds of Hypothecation, Mortgages, and Guarantees.
3. **Stage-Wise Disbursal Tranches:** Term loans for capex are rarely disbursed in a single lump sum. Disbursals occur in tranches against physical progress milestones verified by a Lender's Independent Engineer (LIE) or Chartered Engineer.
4. **Gestation & Moratorium Phase:** During construction or plant installation, the borrower is granted a principal moratorium (grace period). Interest accrued during this phase is either serviced monthly or capitalized into Capital Work-in-Progress (CWIP) under Ind AS 23.
5. **Commercial Operation Date (COD) & Amortization Phase:** Upon plant commissioning, the moratorium ends, and regular principal and interest servicing commences according to the agreed amortization schedule.
6. **Maturity, Charge Satisfaction & NOC:** Upon full repayment of debt, the lender releases security charges, issues a No Objection Certificate (NOC), cancels pre-signed cheques, and files ROC Form CHG-4 for satisfaction of charge.

2.2 Interest Rate Benchmarking & Pricing Mechanics

Term Loan pricing in India comprises a benchmark rate plus a risk spread:

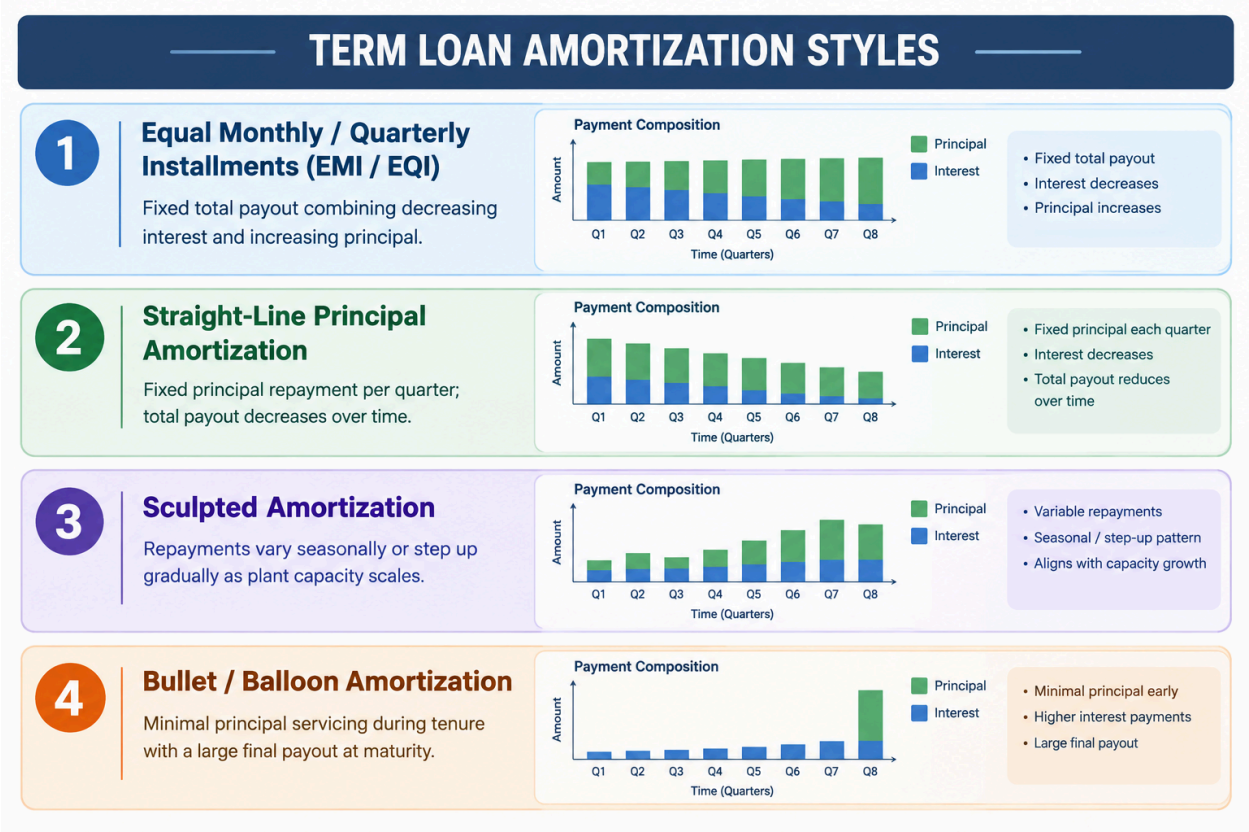
$$\text{Effective Term Loan Interest Rate} = \text{Benchmark Rate} + \text{Spread (Credit Risk + Business Risk + Tenure Premium)}$$

- **External Benchmark Lending Rate (EBLR):** Mandatory for MSME and retail term loans, linked directly to the RBI Repo Rate (e.g., Repo Rate 6.50% + Benchmark Spread 2.00% = EBLR 8.50%).
- **Marginal Cost of Funds based Lending Rate (MCLR):** Utilized for corporate term loans, calculated by banks across 1-month, 3-month, 6-month, and 1-year tenures based on marginal cost of funds, negative carry on CRR, operating costs, and tenor premium.
- **Foreign Currency Benchmarks (SOFR / EURIBOR):** FCTL facilities under the ECB framework are benchmarked to Secured Overnight Financing Rate (SOFR) plus an all-in cost ceiling prescribed by the RBI (SOFR + 450 bps max).

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2.3 Amortization Schedules & Repayment Mechanics

Lenders structure Term Loan repayments to match the cash-generation profile of the borrower:



2.4 Moratorium & Capitalization of Interest (IDC)

A moratorium (grace period) shields borrowers from principal repayment stress during the non-revenue-generating construction phase. Under Indian accounting standard **Ind AS 23 (Borrowing Costs)**, interest incurred during the construction phase (Interest During Construction - IDC) is capitalized directly into the asset's historical cost on the balance sheet, rather than being expensed through the Profit & Loss statement.

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Module 3: Comparative Capital Architecture Matrix

To select the optimal capital structure for corporate capex and debt financing, credit officers, financial advisors, and CFOs must evaluate Term Loans against alternative commercial credit instruments. The matrix below provides an institutional comparison across 10 core parameters:

Parameter	Rupee Term Loan (RTL)	Working Capital Demand Loan (WCDL)	Cash Credit (CC) / Overdraft	Non-Convertible Debentures (NCDs)	External Commercial Borrowing (ECB)	Mezzanine / Subordinated Debt
Primary Commercial Purpose	Long-term capital expenditure, plant expansion, infrastructure	Short-term working capital tranches under 60:40 loan split	Daily revolving working capital liquidity	Large-scale corporate capex, refinancing, M&A	Cross-border capex, machinery import financing	Junior growth debt, promoter margin gap funding
Primary Target Asset	Plant, machinery, land, buildings, infrastructure	Inventory, raw material stocking, unbilled WIP	Trade receivables, current stocks, operating cash	Fixed assets, corporate balance sheet	Imported capital equipment, foreign assets	Subordinated corporate equity / junior cash flows
Maximum Facility Tenure	3 to 15 Years (up to 25 yrs for Infra)	30 to 180 Days per tranche	12 Months (renewable annually)	3 to 10 Years	3 to 10 Years (minimum average maturity 3-5 yrs)	3 to 7 Years
Interest Pricing	EBLR / MCLR +	EBLR / MCLR /	EBLR / MCLR +	Fixed Coupon	SOFR + Spread	High-yield fixed +

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Parameter	Rupee Term Loan (RTL)	Working Capital Demand Loan (WCDL)	Cash Credit (CC) / Overdraft	Non-Convertible Debentures (NCDs)	External Commercial Borrowing (ECB)	Mezzanine / Subordinated Debt
Benchmarks	Spread (8.50%–11.50% p.a.)	T-Bill + Spread (8.25%–9.75% p.a.)	Spread (9.00%–12.50% p.a.)	/ Benchmark Spread (8.00%–10.50% p.a.)	(4.50%–6.50% p.a. all-in cost)	Equity Kicker (14.0%–18.0% p.a.)
Amortization Mechanics	Structured EMI / EQI or Sculpted Quarterly	Bullet repayment at tranche maturity	Continuous revolving credit within Drawing Power	Bullet / Periodic Coupon + Principal Redemption	Semi-annual / Annual Amortization	PIK Interest + Bullet Principal / Royalty
Moratorium Grace Period	6 to 36 Months (Construction/Installation)	Zero moratorium	Zero moratorium	12 to 24 Months optional	12 to 36 Months	Flexible moratorium
Primary Security & Collateral	First exclusive mortgage over land/buildings; hypothecation over P&M	Hypothecation charge over current stocks & receivables	Hypothecation charge over current stocks & receivables	First / Second Pari-Passu Mortgage over fixed assets	First exclusive charge over imported machinery & land	Subordinated second charge / share pledge
Target Underw	DSCR $\geq 1.25x$	Current Ratio $\geq 1.33:1$	Current Ratio $\geq 1.33:1$	Credit Rating $\geq A-$;	DSCR $\geq 1.35x$; ECB	Combined ICR $\geq 1.50x$

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Parameter	Rupee Term Loan (RTL)	Working Capital Demand Loan (WCDL)	Cash Credit (CC) / Overdraft	Non-Convertible Debentures (NCDs)	External Commercial Borrowing (ECB)	Mezzanine / Subordinated Debt
riting Metrics	; FACR $\geq 1.25x$	; ICR $\geq 2.00x$	; DP Coverage	Debt/EBITDA $\leq 3.5x$	All-In Cost Cap	; Projected IRR $\geq 16\%$
Escrow / TRA Control	Designated TRA Escrow Account for cash flows	Designated Collection Escrow Account	Master Current Account with DP Monitoring	Debenture Trustee Cash Escrow Account	Offshore Escrow / Designated Bank Account	Junior Waterfall Escrow Position
Tax Shield & Accounting	Interest tax deductible under Sec 36(1)(iii) ; Sec 32 Dep	Interest tax deductible under Sec 36(1)(iii)	Interest tax deductible under Sec 36(1)(iii)	Coupon tax deductible under Sec 36(1)(iii)	Interest tax deductible under Sec 36(1)(iii)	Coupon / Fee tax deductible

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Module 4: Common Eligibility Criteria, Credit Appraisal & Underwriting Framework

4.1 Quantitative Financial Metrics and Ratios

Lenders evaluate a borrower's capacity to service term debt using standardized financial ratios:

1. Debt Service Coverage Ratio (DSCR)

DSCR measures the borrower's annual cash flow availability relative to debt servicing obligations (principal and interest):

$$DSCR = \frac{PAT + Depreciation + Amortization + Interest\ Outflows}{Principal\ Amortization + Interest\ Outflows}$$

- **Institutional Thresholds:** Target average DSCR must be $\geq 1.25x - 1.50x$ over the tenure. The absolute minimum annual DSCR floor must not drop below $1.15x$ in any single operational year.

2. Fixed Asset Coverage Ratio (FACR)

FACR measures the security cushion provided by the borrower's fixed assets relative to total term debt:

$$FACR = \frac{Net\ Block\ of\ Fixed\ Assets\ (Property,\ Plant\ \&Equipment)}{Total\ Senior\ Term\ Debt\ Outstanding}$$

- **Institutional Thresholds:** Target FACR must be $\geq 1.25x - 1.50x$ (providing a 25%–50% security margin over the loan value).

3. Interest Coverage Ratio (ICR)

ICR assesses the borrower's operating earnings capacity to absorb interest rate fluctuations:

$$ICR = \frac{EBITDA}{Total\ Interest\ Outflows}$$

- **Institutional Thresholds:** Minimum acceptable ICR is $\geq 2.00x - 2.50x$.

4. Total Debt-to-EBITDA Ratio

Debt-to-EBITDA evaluates the total leverage burden and indicative years required to repay aggregate debt:

$$Debt - to - EBITDA = \frac{Total\ Senior\ Debt}{Annual\ EBITDA}$$

- **Institutional Thresholds:** Ideal ratio is $\leq 3.50x - 4.00x$ for commercial enterprises.

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4.2 Qualitative Scorecard & Borrower Eligibility Requirements

In addition to quantitative financial ratios, credit underwriters evaluate borrower eligibility against strict qualitative criteria:

- **Promoter Vintage & Track Record:** Promoters must demonstrate a minimum of **3 to 5 years of successful operational track record** in the same or allied line of business.
- **Credit Rating & CMR Score:** Corporate borrowers should possess an external investment-grade credit rating (**CRISIL / ICRA / CARE / India Ratings BBB- or higher**). MSME borrowers must score CIBIL Commercial Rank **CMR 1 to CMR 4** with individual promoter CIBIL scores above **720+**.
- **Historical Financial Performance:** Positive Net Profit After Tax (PAT) and operating cash flows for a minimum of 3 consecutive financial years.
- **Statutory Compliance & Clean Track Record:** Absence of default listings on RBI Caution Lists, ECGC SAL lists, CIBIL Wilful Defaulter databases, or active NCLT insolvency proceedings under IBC 2016.

4.3 Techno-Economic Viability (TEV) & LIE Audits

For term loan facilities exceeding **₹15.0 Crores**, Indian commercial banks mandate an independent **Techno-Economic Viability (TEV) study** conducted by empanelled engineering consultants. The TEV report evaluates:

1. **Technical Feasibility:** Equipment specifications, OEM reliability, civil foundation design, power/water connectivity, and environmental clearances (SPCB Consent to Establish - CTE & Consent to Operate - CTO).
2. **Economic Viability:** Market demand, raw material supply security, pricing dynamics, operating break-even capacity, and sensitivity analysis under adverse cost/revenue scenarios.
3. **Lender's Independent Engineer (LIE) Monitoring:** During the construction phase, disbursal tranches are released only after the LIE verifies physical progress on-site and certifies contractor invoices.

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Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary Security and Collateral Architecture

To secure a Term Loan, lenders establish a comprehensive multi-layered security package covering immovable and movable assets:

1. **Equitable Mortgage over Immovable Assets:** First exclusive or pari-passu mortgage over industrial land, factory buildings, and commercial real estate created by deposit of title deeds under **Section 58(f) of the Transfer of Property Act, 1882**.
2. **Hypothecation of Movable Fixed Assets:** First exclusive charge over plant, machinery, heavy equipment, tools, electrical sub-stations, and commercial vehicle fleets under **Section 2(1)(n) of the SARFAESI Act, 2002**.
3. **Hypothecation of Receivables & Cash Flows:** First charge on project revenue accounts, unbilled receivables, and designated Trust and Retention Accounts (TRA).

5.2 Collateral & Credit Enhancements

Where fixed asset coverage falls below $1.25x - 1.50x$, lenders stipulate secondary security and credit enhancements:

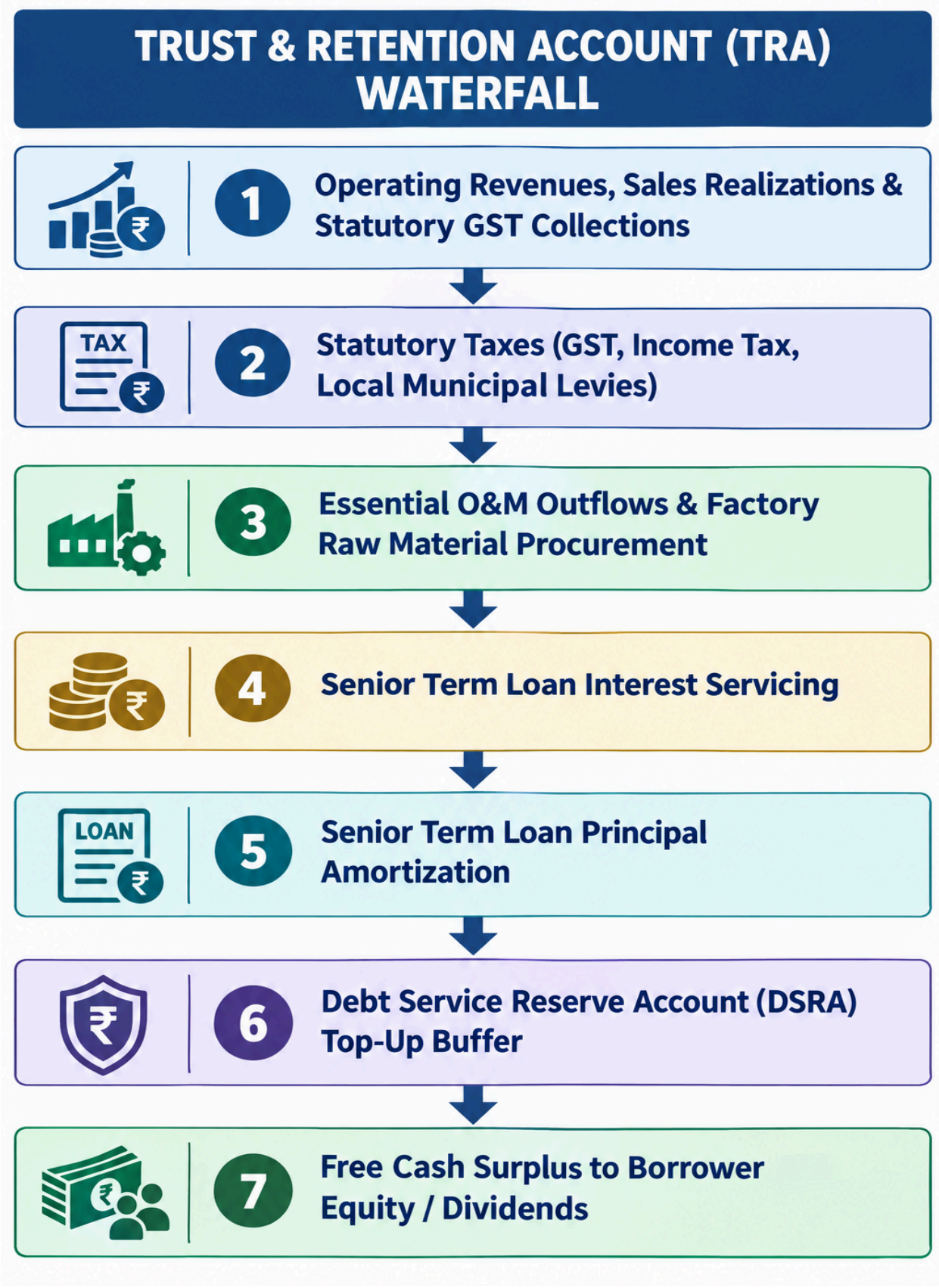
- **Pledge of Promoter Equity Shares:** Pledge of **51% to 100% of promoter shareholding** in the borrower company, accompanied by irrevocable voting rights in event of default.
- **Unconditional Personal & Corporate Guarantees:** Irrevocable Personal Guarantees (PG) from promoter-directors and Corporate Guarantees (CG) from parent or group entities.
- **Debt Service Reserve Account (DSRA):** A cash or Fixed Deposit reserve equal to **1 to 2 quarters of principal and interest servicing obligations**, held in a lien-marked account.

5.3 Statutory Filings and Legal Registrations

Under Indian corporate and banking law, security creation is legally binding only upon completing statutory registrations:

- **ROC Form CHG-1 Filing:** Mandatory registration of charge with the Registrar of Companies (ROC) within **30 days of creation** under **Section 77 of the Companies Act, 2013**. Failure to file CHG-1 renders the lender an unsecured creditor in NCLT insolvency proceedings under IBC 2016.
- **CERSAI Portal Registration:** Registration of mortgage and hypothecation charges on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (**CERSAI**) portal within 30 days.
- **NeSL Information Utility Registration:** Submission of debt and security details to National E-Governance Services Limited (**NeSL**), enabling automated financial information authentication for NCLT admission.

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5.4 Legal Covenants and Security Instruments

Term Loan agreements incorporate strict legal instruments and negative covenants:

- **Demand Promissory Note (DPN):** Executed under **Section 4 of the Negotiable Instruments Act, 1881**, acknowledging unconditional liability to repay debt on demand.
- **Pre-Signed Cheques & NACH Auto-Debit Mandates:** Pre-signed Post-Dated Cheques (PDCs) and National Automated Clearing House (NACH) mandates enabling criminal prosecution under **Section 138 of the Negotiable Instruments Act, 1881** and **Section 25 of the Payment and Settlement Systems Act, 2007** in event of bounce.
- **Negative Covenants:** Contractual prohibitions restricting the borrower from: (a) declaring equity dividends without lender NOC, (b) raising additional debt, (c) diluting promoter shareholding below 51%, (d) selling or leasing mortgaged assets, or (e) undertaking corporate restructuring / M&A acquisitions.

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Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

6.1 Indicative Tenure Structures

Term Loan tenures are calibrated against asset depreciation rates and operational cash flows:

- **Short-Term Capex / Modernization:** 3 to 5 Years (including 6–12 months moratorium).
- **Industrial Plant & Heavy Machinery:** 7 to 10 Years (including 12–24 months moratorium).
- **Infrastructure, Renewable Energy & Real Estate:** 10 to 15+ Years (including 18–36 months moratorium).

6.2 Income Tax Shields under Section 36(1)(iii)

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business expansion or asset creation is fully deductible as an operating expense from gross revenue:

$$K_{d,post} = R_{nominal} \times \left(1 - T_{corporate}\right)$$

Where $K_{d,post}$ is the effective post-tax borrowing yield, $R_{nominal}$ is the nominal annual interest rate, and $T_{corporate}$ is the applicable corporate tax rate (25.168% inclusive of surcharge and cess under Section 115BAA).

$For\ a\ 9.50\%p.a.\ Term\ Loan$: $K_{d,post} = 9.50\% \times (1 - 0.25168) = 9.50\% \times 0.74832 = 7.109\%\ p.$

Thus, tax deductibility slashes the real borrowing cost from **9.50% p.a. down to an effective 7.109% p.a.**!

6.3 Section 32 Accelerated Tax Depreciation

Under **Section 32 of the Income Tax Act, 1961**, borrowers claim tax depreciation on fixed assets created via term debt:

- **General Plant & Machinery:** 15% Written Down Value (WDV) annual tax depreciation.
- **Pollution Control & Energy-Saving Equipment:** 40% WDV annual tax depreciation.
- **Computers & Information Technology Hardware:** 40% WDV annual tax depreciation.

Depreciation charges reduce taxable net income, preserving cash flows for debt amortization.

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6.4 Accounting Treatment Under Ind AS 16 & Ind AS 23

Corporate borrowers governed by Indian Accounting Standards (Ind AS) handle Term Loans as follows:

- **Ind AS 16 (Property, Plant and Equipment):** Fixed assets acquired via term debt are capitalized at historical cost (invoice price + import duties + freight + installation + IDC).
- **Ind AS 23 (Borrowing Costs):** Interest incurred during the construction/installation phase is capitalized into Capital Work-in-Progress (CWIP). Interest incurred after Commercial Operation Date (COD) is expensed in the P&L statement.
- **100% GST Input Tax Credit (ITC) Recovery:** Under **Section 16 of the Central Goods and Services Tax (CGST) Act, 2017**, 100% of the 18% GST paid on bank processing fees, LIE consultancy fees, and capital equipment invoices is recoverable as Input Tax Credit against output GST liabilities.

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Module 7: Suitable Sectors, Borrower Profiles & Market Alignment

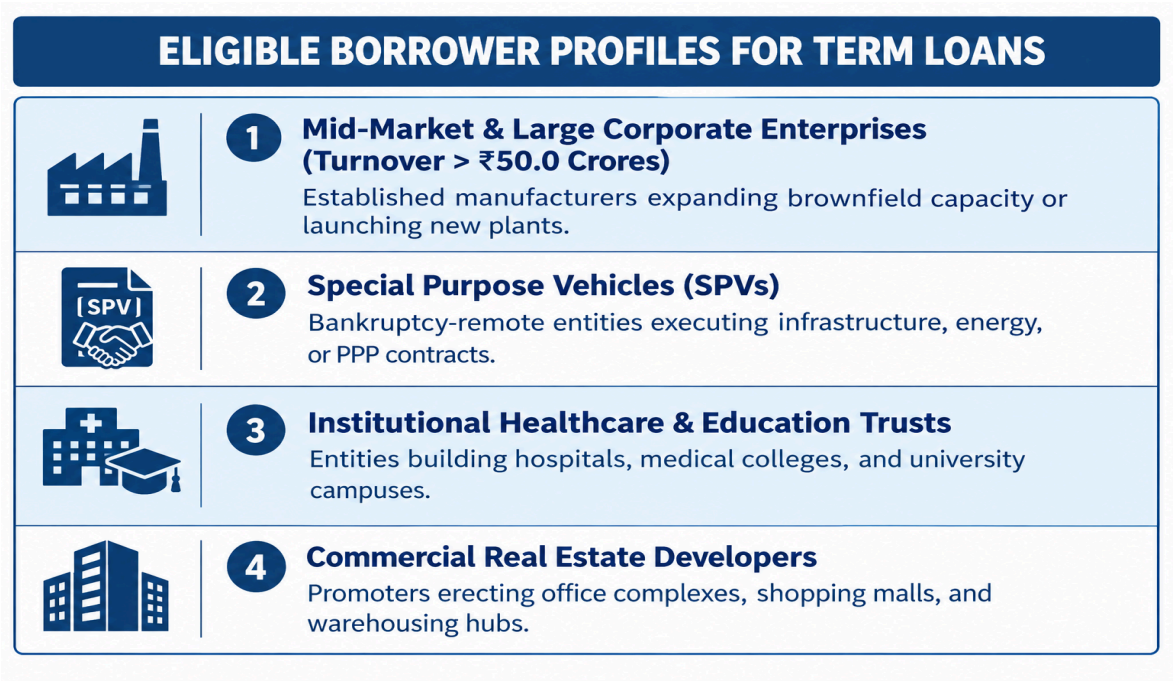
7.1 Target Industry Verticals

Term Loans are the primary financing engine across core industrial and commercial sectors in India:

- **Manufacturing & Heavy Engineering:** Funding CNC machining centers, automated assembly lines, forging presses, EV battery pack manufacturing, and USFDA-compliant pharmaceutical API plants.
- **Infrastructure & Public Utilities:** Financing national highway corridors under HAM/BOT models, power transmission lines, urban metro rail projects, and smart city water networks.
- **Renewable Energy & Clean Tech:** Sizing non-recourse or limited-recourse term debt for 100 MW+ utility-scale solar PV parks, onshore wind farms, and Battery Energy Storage Systems (BESS).
- **Commercial Real Estate & Healthcare:** Construction financing for Grade-A IT parks, multi-specialty tertiary hospitals, diagnostic centers, and automated cold-chain logistics parks.

7.2 Borrower Profile Specifications

Term Loans are structured for established corporate entities with proven revenue models:



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7.3 National Market Footprint

According to Reserve Bank of India (RBI) credit deployment data, Term Loans account for **over 55% of all outstanding commercial bank credit in India**, representing an aggregate exposure exceeding **₹45 Lakh Crores ($540 Billion USD)**. State Bank of India (SBI), HDFC Bank, ICICI Bank, Axis Bank, Bank of Baroda, Punjab National Bank, PFC, REC, and NaBFID represent the primary underwriters of long-term commercial debt in the country.

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Module 8: Strategic Advantages & Operational Limitations

8.1 Strategic Advantages of Term Loans

Term Loans offer distinct strategic benefits for corporate growth:

1. **Non-Dilutive Capital Growth:** Term Loans provide substantial multi-year capital without diluting promoter equity or ceding board seats to private equity investors.
2. **Fixed & Predictable Debt Amortization:** Structured EMI/EQI schedules allow corporate treasurers to forecast cash outflows accurately over a 5-to-15 year horizon.
3. **Substantial Tax Shield Benefits:** Interest deductions under Section 36(1)(iii) and accelerated depreciation under Section 32 significantly reduce effective post-tax borrowing costs.
4. **Financial Leverage & Return on Equity (ROE) Amplification:** By utilizing debt to fund high-ROCE capital projects, promoters maximize equity returns ($ROE = Net\ Profit/Shareholders'\ Equity$).
5. **Credit Rating Upgrade Catalyst:** Successfully servicing a large term loan line builds institutional credit history, improving external ratings (e.g., CRISIL BBB to A/AA) and lowering future borrowing spreads.

8.2 Operational Limitations and Risk Factors

Borrowers must navigate specific operational constraints inherent in term debt:

- **Fixed Cash Outflow Burden During Down-Cycles:** Debt service obligations remain fixed regardless of macroeconomic downturns, demand slumps, or industry recessions.
- **Heavy Collateral & Security Encumbrance:** Mortgaging fixed assets restricts the borrower's ability to pledge assets for secondary credit lines without lender NOC.
- **Restrictive Financial Covenants:** Breaching DSCR ($\geq 1.25x$) or FACR ($\geq 1.25x$) covenants can trigger penal interest (1.00%–2.00% p.a.) or debt acceleration clauses under SARFAESI Act Section 13(2).
- **Gestation & Interest During Construction (IDC) Accumulation:** Project delays during construction increase IDC capitalization, inflating total debt service and straining initial operating margins.

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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Case Study Background & Transaction Context

To illustrate the quantitative underwriting, tax shield, and cash flow mechanics of a Term Loan, consider a mid-market Tier-1 auto-component manufacturer located in the Chakan Industrial Belt, Pune: **Mumbai Precision Engineering & Auto-Components Pvt. Ltd. (MPEACPL)**.

MPEACPL was awarded a 10-year anchor supply contract by a leading EV manufacturer requiring the construction of an automated 100,000 sq. ft. PEB factory block and the installation of 5-axis German CNC machining centers.

MPEACPL TOTAL CAPEX PROJECT OUTLAY BUDGET

Particulars	Amount
1. Freehold Industrial Land (5.0 Acres, Chakan Phase II):	₹20.00 Crores
2. Civil Structural Work & PEB Factory Building:	₹20.00 Crores
3. Imported German 5-Axis CNC Machining Centers & Robotics:	₹50.00 Crores
4. IDC, Contingencies & Pre-Operative Expenses:	₹10.00 Crores
TOTAL APPRAISED PROJECT OUTLAY BUDGET (TPO):	**₹100.00 CRORES**

9.2 Structuring Pathways: Option A vs. Option B

Option A: Unstructured Short-Term High-Cost Loan (Sub-Optimal Financing)

MPEACPL approaches an aggressive NBFC offering a 3-year short-term loan at **15.00% p.a. fixed interest** with a 50% LTC requirement (₹50.00 Crores debt / ₹50.00 Crores promoter cash equity down payment) and **zero construction moratorium**.

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Option B: Structured Senior Secured Rupee Term Loan (Optimal Banking Line)

MPEACPL approaches a commercial banking consortium led by State Bank of India (SBI) offering a 10-year **Senior Secured Rupee Term Loan @ 9.50% p.a. floating (MCLR 8.50% + Spread 1.00%)** under a **75:25 LTC leverage structure**: * **Total Project Outlay (TPO):** ₹100.00 Crores * **Senior Term Debt Sanctioned (75% LTC):** ₹75.00 Crores * **Promoter Equity Margin (25% LTC):** ₹25.00 Crores. Crucially, the bank accepts MPEACPL's existing unencumbered freehold land plot (valued at ₹20.00 Crores) as promoter equity contribution, requiring **only ₹5.00 Crores in fresh promoter cash equity!** * **Construction & Installation Moratorium:** 24 Months (principal grace period during plant erection). * **Repayment Amortization:** 8 Years post-COD (32 quarterly installments of ₹2.34375 Crores principal).

9.3 Comparative Step-by-Step Financial Modeling

FINANCIAL MODELING COMPARISON (INR CRORES)

Financial Parameter	Option A (NBFC)	Option B (RTL)
Total Project Outlay Budget (TPO)	₹100.00 Cr	₹100.00 Cr
Senior Debt Sized	₹50.00 Cr	₹75.00 Cr
Fresh Promoter Cash Equity Required	₹50.00 Cr	₹5.00 Cr
Net Promoter Cash Equity Preserved	Baseline	+₹45.00 Cr
Nominal Interest Rate	15.00% p.a.	9.50% p.a.
Construction Moratorium Grace Period	0 Months	24 Months
Year 1 Debt Service Outflow (Construction Phase)	₹24.17 Cr	INR 0.00
Year 1 Operating Cash Flow	₹15.00 Cr	INR 0.00
Year 1 Net Free Cash Flow Status	-₹9.17 Cr (DEF)	Solvent (CWIP)
Year 3 Post-COD Operational EBITDA	₹46.00 Cr	₹46.00 Cr
Year 3 Post-COD Debt Service Obligation	₹24.17 Cr	₹18.43 Cr
Year 3 Operational DSCR	1.23x	2.11x (Prime)
Effective Post-Tax Borrowing Yield	11.22% p.a.	7.109% p.a.

9.4 Mathematical Rationales & Strategic Impact Analysis

1. **Promoter Cash Equity Preservation (+₹45.00 Crores):** Option B accepts the existing land plot as equity margin, requiring only ₹5.00 Crores fresh cash vs. ₹50.00 Crores in Option A. MPEACPL preserves **₹45.00 Crores in liquid corporate reserves**.
2. **Year 1 Insolvency Default Avoided:** Under Option A, zero moratorium forces a Year-1 cash debt service of ₹24.17 Crores against legacy EBITDA of ₹15.00 Crores, creating an **acute ₹9.17 Crore cash bankruptcy deficit**. Option B capitalizes

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Interest During Construction (IDC) into CWIP under Ind AS 23, resulting in **INR 0.00 cash debt service during construction**.

3. **Operational DSCR Expansion (2.11x vs. 1.23x):** Post-commissioning, Option B achieves a prime **2.11x DSCR**, qualifying MPEACPL for an external credit rating upgrade from CRISIL BBB- to A-.
4. **Section 36(1)(iii) Tax Shield Advantage:** Nominal interest of 9.50% p.a. is reduced to an effective post-tax yield of **7.109% p.a.** ($9.50\%imes[1 - 0.25168]$).
5. **Total Opportunity-Adjusted Wealth Surplus (+₹24.85 Crores):** Reinvesting the preserved ₹45.00 Crores equity into corporate operations yielding 18.00% p.a. ROCE generates **+₹23.57 Crores in post-tax operating income**, delivering a net financial wealth surplus of **+₹24.85 Crores (+₹24,85,20,000.00)** over Option A.

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Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

10.1 RBI Prudential Norms & IRACP Asset Classification

Term Loans governed by the RBI Master Directions on Income Recognition, Asset Classification and Provisioning (IRACP) are monitored under a strict 90-day default framework:

- **Special Mention Account 0 (SMA-0):** Principal or interest overdue for **1 to 30 days**.
- **Special Mention Account 1 (SMA-1):** Overdue for **31 to 60 days**.
- **Special Mention Account 2 (SMA-2):** Overdue for **61 to 90 days**. Lenders form a Joint Lenders' Forum (JLF) and initiate resolution plans.
- **Non-Performing Asset (NPA):** Overdue exceeds **90 consecutive days**. The lender must stop income recognition and create statutory provisions (15% for Sub-Standard assets; 25%–100% for Doubtful assets).

10.2 Date of Commencement of Commercial Operations (DCCO) Extensions

Under RBI guidelines, if a capex project faces execution delays beyond the control of promoters, lenders can grant a formal extension of the **Date of Commencement of Commercial Operations (DCCO)** without downgrading the loan to NPA status:

- **Non-Infrastructure Projects:** DCCO can be extended up to **1 year** from the original scheduled COD.
- **Infrastructure & Energy Projects:** DCCO can be extended up to **2 years** for court litigation or arbitration delays, and up to **1 year** for other business reasons.

10.3 Legal Recovery and Enforcement Mechanisms

Upon NPA classification, lenders initiate recovery under statutory enforcement acts:

1. **SARFAESI Act 2002 Enforcement:** Issuance of a 60-day demand notice under **Section 13(2)**. Upon non-payment, the lender takes physical possession of mortgaged factory land and machinery under **Section 13(4) and Section 14** via District Magistrate assistance, proceeding to public auction.
2. **Insolvency and Bankruptcy Code (IBC) 2016:** Filing an insolvency application under **Section 7 of IBC** before the National Company Law Tribunal (NCLT) for corporate default exceeding **₹1.0 Crore**, initiating Corporate Insolvency Resolution Process (CIRP).

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Module 11: Professional Certification Examination & Detailed Rationales

Examination Questions

Question 1

A corporate borrower is seeking a ₹100 Crore Term Loan for a 10-year tenure at 9.00% p.a. floating interest. The applicable corporate tax rate is 25.168%. What is the effective post-tax borrowing yield under Section 36(1)(iii) of the Income Tax Act 1961? - A) 9.00% p.a. - B) 7.25% p.a. - C) 6.735% p.a. - D) 5.50% p.a.

Question 2

Which financial ratio measures the security cover provided by a borrower's net fixed assets relative to total senior term debt? - A) Debt Service Coverage Ratio (DSCR) - B) Fixed Asset Coverage Ratio (FACR) - C) Current Ratio - D) Interest Coverage Ratio (ICR)

Question 3

Under Section 77 of the Companies Act 2013, within how many days must a company register a charge (Form CHG-1) created on its assets with the Registrar of Companies (ROC)? - A) 15 Days - B) 30 Days - C) 60 Days - D) 90 Days

Question 4

Under Indian Accounting Standard Ind AS 23, how is interest incurred during the construction/installation phase (Interest During Construction - IDC) accounted for? - A) Expensed immediately in the Profit & Loss statement - B) Capitalized into Capital Work-in-Progress (CWIP) on the Balance Sheet - C) Charged directly to Retained Earnings - D) Deferred over 5 years as pre-operative expense

Question 5

What is the target minimum Debt Service Coverage Ratio (DSCR) required by commercial banks for underwriting long-term Term Loans? - A) 0.85x - B) 1.00x - C) 1.25x - 1.50x - D) 3.00x

Question 6

Under Section 58(f) of the Transfer of Property Act 1882, how is an Equitable Mortgage created over immovable property? - A) By registering a deed with the Sub-Registrar of Assurances only - B) By physical delivery/deposit of original title deeds with the lender in a notified town - C) By issuing a public notice in two local newspapers - D) By obtaining a NOC from the local municipal corporation

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Question 7

Under RBI IRACP norms, after how many consecutive days of principal or interest overdue is a Term Loan classified as a Non-Performing Asset (NPA)? - A) 30 Days - B) 60 Days - C) 90 Days - D) 180 Days

Question 8

What is the maximum Written Down Value (WDV) annual tax depreciation rate permitted under Section 32 of the Income Tax Act 1961 for general plant and machinery? - A) 10% - B) 15% - C) 25% - D) 40%

Question 9

Under the RBI Loan System for Delivery of Bank Credit, what is the mandatory minimum term loan / WCDL component split for working capital limits of ₹10 Crores and above? - A) 20% Loan : 80% Cash Credit - B) 40% Loan : 60% Cash Credit - C) 60% Loan : 40% Cash Credit - D) 80% Loan : 20% Cash Credit

Question 10

If an infrastructure project faces execution delays due to court litigation, by how much time can lenders extend the Date of Commencement of Commercial Operations (DCCO) without downgrading the loan to NPA? - A) Up to 6 Months - B) Up to 1 Year - C) Up to 2 Years - D) Up to 4 Years

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Detailed Answer Keys & Rationales

1. **Correct Answer: C) 6.735% p.a.** *Rationale:* Effective post-tax yield = $Nominal Rate imes (1 - Corporate Tax Rate) = 9.00\% imes (1 - 0.25168) = 9.00\% imes 0.74832 = 6.73488\% pprox \mathbf{6.735\% ext{ p.a.}}}$
2. **Correct Answer: B) Fixed Asset Coverage Ratio (FACR)** *Rationale:* $FACR = NetBlockofFixedAssets/TotalSeniorTermDebt$. It measures the collateral asset safety margin ($FACR \geq 1.25x$).
3. **Correct Answer: B) 30 Days** *Rationale:* Section 77 of the Companies Act 2013 mandates ROC Form CHG-1 registration within 30 days of charge creation.
4. **Correct Answer: B) Capitalized into Capital Work-in-Progress (CWIP) on the Balance Sheet** *Rationale:* Ind AS 23 mandates capitalizing borrowing costs directly attributable to qualifying asset acquisition into CWIP until COD.
5. **Correct Answer: C) 1.25x - 1.50x** *Rationale:* Banks mandate a target DSCR of $1.25x - 1.50x$ to ensure cash flow safety over debt servicing.

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6. **Correct Answer: B) By physical delivery/deposit of original title deeds with the lender in a notified town** *Rationale:* Section 58(f) of Transfer of Property Act 1882 defines an Equitable Mortgage by deposit of title deeds.
7. **Correct Answer: C) 90 Days** *Rationale:* RBI IRACP guidelines classify any advance overdue for more than 90 consecutive days as an NPA.
8. **Correct Answer: B) 15%** *Rationale:* Section 32 of the Income Tax Act 1961 prescribes a 15% WDV tax depreciation rate for general plant & machinery.
9. **Correct Answer: C) 60% Loan : 40% Cash Credit** *Rationale:* The RBI Loan System mandates a minimum 60% loan component (WCDL/Term Loan) for working capital lines $\geq ext₹10.0Crores$.
10. **Correct Answer: C) Up to 2 Years** *Rationale:* RBI guidelines permit DCCO extensions up to 2 years for infrastructure projects delayed by legal/court proceedings without NPA classification.

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